
CAPITEC BANK HOLDINGS LIMITED

Five-Year Financial Performance Analysis

Financial Years 2021–2025



Capitec Bank Holdings Limited

(Capitec or the group or the company)

Part D: Generative AI Financial Analysis

Financial Accounting / CACC012

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1 Introduction

This report presents a five-year financial performance analysis of Capitec Bank Holdings Limited for the financial years 2021 to 2025. The analysis focuses on profitability, liquidity, and debt-equity structure.

The profitability analysis considers Net Profit Margin, Return on Assets (ROA), and Return on Investment (ROI). The liquidity analysis evaluates regulatory measures such as the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR), while the debt-equity analysis evaluates the gearing ratio.

The purpose of this analysis is to identify financial trends within Capitec Bank Holdings Limited and determine whether its overall financial standing improved or deteriorated over the five-year period.

2 Methodology

The analysis is based on financial information sourced from Capitec Bank Holdings Limited's annual financial statements. The primary financial ratios and formulas used in this study are detailed below.

2.1 Net Profit Margin

$$\text{Net Profit Margin} = \frac{\text{Profit for the Year}}{\text{Income from Operations after Credit Impairments}} \times 100$$

2.2 Return on Assets

$$\text{ROA} = \frac{\text{Profit for the Year}}{\text{Average Total Assets}} \times 100$$

2.3 Return on Investment

$$\text{ROI} = \frac{\text{Profit for the Year}}{\text{Average Total Equity}} \times 100$$

2.4 Liquidity Ratios

Conventional current and quick ratios cannot be reliably calculated for commercial banks due to unclassified financial position structures. Consequently, liquidity is evaluated using the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR).

2.5 Gearing Ratio

$$\text{Gearing Ratio} = \frac{\text{Total Liabilities}}{\text{Total Equity}} \times 100$$

3 Profitability Analysis

3.1 Net Profit Margin

Table ?? details Capitec's net profit margin over the five-year period.

Table 1: Net Profit Margin (2021–2025)

	2021	2022	2023	2024	2025
Profit for year (R'm)	4,458	8,527	9,151	10,567	13,749
Income from operations (R'm)	15,180	23,454	23,422	27,318	35,809
Net Profit Margin	29.38%	36.36%	39.07%	38.68%	38.39%

Capitec's net profit margin expanded significantly over the period, growing from 29.38% in 2021 to 38.39% in 2025, peaking in 2023 at 39.07%.

3.2 Return on Assets

Table ?? shows the Return on Assets trajectory.

Table 2: Return on Assets (2021–2025)

	2021	2022	2023	2024	2025
Profit for year (R'm)	4,458	8,527	9,151	10,567	13,749
Average assets (R'm)	145,538	167,225	184,290	199,108	223,021
ROA	3.06%	5.10%	4.97%	5.31%	6.17%

3.3 Return on Investment

Table ?? summarizes Return on Investment (equity-return proxy).

Table 3: Return on Investment (2021–2025)

	2021	2022	2023	2024	2025
Profit for year (R'm)	4,458	8,527	9,151	10,567	13,749
Average equity (R'm)	27,865	32,840	36,843	40,726	47,222
ROI	16.00%	25.97%	24.84%	25.95%	29.12%

3.4 Visualizing Profitability Metrics

Figure ?? provides a graphical comparison of Profitability trends from 2021 through 2025.

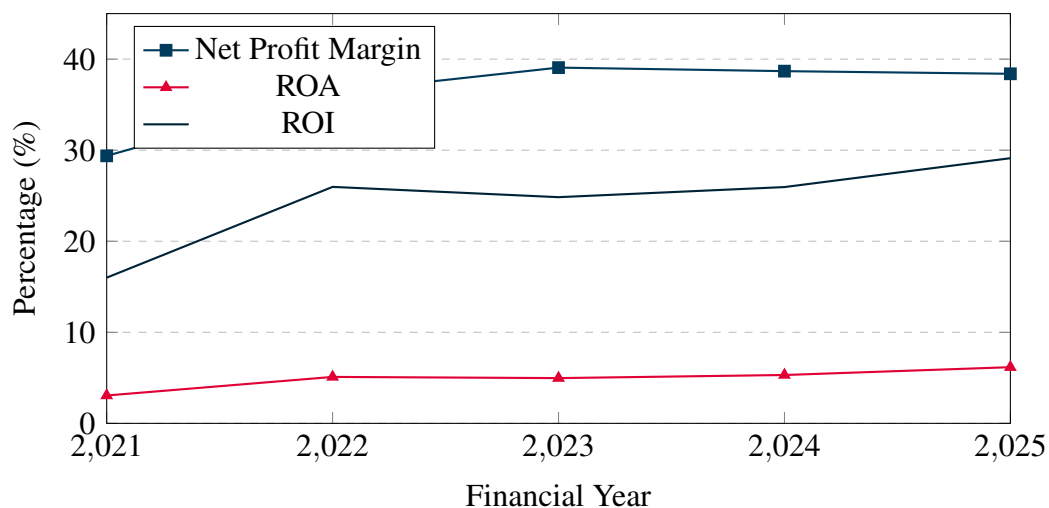


Figure 1: Five-Year Comparison of Profitability Ratios (2021–2025)

4 Liquidity Analysis

Capitec maintained regulatory liquidity metrics substantially exceeding required minimum thresholds:

- **Liquidity Coverage Ratio (LCR):** Increased from 2,459% (2021) to 3,085% (2025), vs. 100% minimum.
- **Net Stable Funding Ratio (NSFR):** Stable performance from 221% (2021) to 225% (2025), vs. 100% minimum.

5 Debt-Equity Analysis

Table ?? presents the calculated gearing ratios.

Table 4: Gearing Ratio Analysis (2021–2025)

	2021	2022	2023	2024	2025
Total liabilities (R'm)	126,592	142,178	152,716	164,048	187,550
Total equity (R'm)	29,915	35,765	37,920	43,531	50,913
Gearing ratio	423.20%	397.47%	402.74%	376.82%	368.32%

Gearing decreased from 423.20% in 2021 to 368.32% in 2025, indicating stronger equity growth relative to liability growth over the period.

6 Conclusion

Capitec Bank Holdings Limited demonstrated substantial overall improvement in financial performance and solvency between 2021 and 2025. Profitability, liquidity buffers, and leverage structure all strengthened positively over the period under review.

References

Capitec Bank Holdings Limited. (2021). *Integrated Annual Report 2021*. Capitec Bank Holdings Limited.

Capitec Bank Holdings Limited. (2025). *Integrated Annual Report 2025*. Capitec Bank Holdings Limited.